

more because of the low volume of shares that trade. The price would often drop when an investor tried to sell any meaningful number of shares.

It was also interesting to Banz and Reinganum that sometimes the prices of microcap stocks moved in the opposite direction from large-cap stocks. That meant that the return on microcap stocks did not always correlate with the returns on the rest of the market. Accordingly, there may be a diversification benefit to owning micro-cap stocks in greater weight than the tiny position they hold in a total stock market index fund.

TABLE 6-4

Comparing Microcap Stocks to the Broad Market

Year	CRSP Total U.S. Stock Market	CRSP Microcap Index	CRSP Microcap Return Minus the Total Market
1995	36.8	33.3	-3.5
1996	21.8	19.1	-2.7
1997	31.8	24.1	-7.7
1998	24.1	-7.9	-32.0
1999	20.9	32.2	11.3
2000	-7.5	-13.4	-5.9
2001	-11.5	34.2	45.7
2002	-21.6	-14.1	7.5
2003	31.6	78.4	46.8
2004	12.5	16.8	4.3
2005	6.2	3.7	-2.5
2006	15.5	18.1	2.6
2007	5.8	-7.9	-13.8
2008	-36.7	-41.5	-4.8
2009	28.8	61.1	32.3

Sources: CRSP

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[Table 6-4](#) offers excellent insight into the difference in return between the total stocks market and microcap stocks. The microcap index in [Table 6-4](#) is derived by the Center for Research in Security Prices (CRSP). The